

THE GLAMSQUAD SALON

Profitability Root Cause Analysis

Diagnostic Analytics | Revenue, Cost, Staffing, Pricing & Customer Drivers

Document Control	Details
Client	The GlamSquad Salon
Role	Business Analyst + Data Analyst
Project Period	May–Aug 2025
Primary Stakeholder	Salon manager
Business Problem	Declining profitability
Historical Data	Approximately one year
Confirmed Outcome	15% profit increase within approximately two months after implementation of necessary recommendations
Status	Portfolio reconstruction based on confirmed engagement facts
Evidence standard: This analysis documents the confirmed diagnostic story and findings. Exact client financial values, counts, percentages, peak-hour values and contribution of individual interventions are not reconstructed or invented.	

1. Executive Diagnosis

The core problem was declining profitability. The analysis did not assume that one factor was responsible. Instead, profitability was decomposed into interacting revenue/customer and cost/operational drivers.

Diagnostic conclusion: The evidence supported a multi-factor profitability problem involving staffing alignment, staff utilization, stylist revenue variation, salary/commission cost pressure, scheduling inefficiency, pricing/discount considerations, cancellations/no-shows, service economics and customer-experience issues.

This framing was important because increasing revenue alone would not necessarily solve the problem if operating costs, discounting, staffing inefficiency or lost appointment opportunities continued to erode profit.

2. Root-Cause Problem Tree

Declining Profitability	Revenue / Customer Drivers	Cost / Operational Drivers
Business outcome under investigation	Service mix	Salary and commission costs
	Pricing	Staff underutilization
	Discounts	Peak-period understaffing
	Repeat customers / retention	Scheduling inefficiency
	Cancellations / no-shows	Product / material costs
	Customer experience / staff availability	Operational capacity alignment
Analytical principle: A factor was treated as a root-cause candidate only when it could be connected logically to profitability and supported by the available operational, commercial or qualitative evidence.		

3. Diagnostic Questions

- Was profitability declining because revenue was insufficient, expenses were high, or both?
- Were service pricing and discounts weakening service economics?
- Was the service mix generating the right commercial contribution?
- Were cancellations/no-shows reducing realized appointment revenue?
- Were repeat customers and retention strong enough to support recurring demand?
- Was staffing capacity aligned with peak and off-peak demand?
- Were salary and commission costs proportionate to staff activity and revenue generation?
- Did stylist performance vary materially?
- Were product/material costs affecting service-level economics?
- Did customer feedback reinforce operational issues visible in the data?

4. Analytical Evidence Map

Evidence Area	Analysis Performed	Profitability Link
Revenue / expenses	Compared revenue and expense performance at the business level.	Established overall profit context.
Appointments	Analyzed utilization, demand patterns, cancellations and no-shows.	Identified capacity use and lost appointment opportunities.
Customers	Analyzed repeat visits and retention behaviour; phone number used for repeat matching.	Assessed recurring customer demand.
Services	Analyzed service mix and revenue by service.	Assessed which services drove commercial activity.
Pricing / discounts	Investigated pricing, underpricing and discount behaviour.	Assessed potential revenue/margin leakage.
Staff	Compared stylist activity/revenue and utilization-related indicators.	Assessed productivity and workload alignment.
Working hours / attendance	Compared staffing availability with demand patterns.	Assessed scheduling and utilization inefficiency.
Salary / commission	Analyzed compensation costs as part of the cost base.	Assessed staff-linked profitability pressure.
Material / product costs	Included direct operating/service cost considerations.	Supported service economics analysis.
Feedback	Reviewed recurring themes across multiple feedback sources.	Provided qualitative context for operational findings.

5. Profitability Decomposition

Business-level formula: Profit = Revenue – Expenses

The diagnostic logic therefore considered two broad routes to declining profit: deterioration in realized revenue/economics, and/or an expense structure that was not sufficiently aligned with productive activity.

Revenue-Side Diagnostic	Cost / Efficiency Diagnostic
Service demand and service mix	Salary and commission costs
Service pricing	Product/material costs
Discounting	Underutilized staff capacity
Completed appointments	Scheduling inefficiency
Cancellations / no-shows	Peak/off-peak capacity mismatch
Repeat customers / retention	Cost relative to commercial output

6. Root Cause 1 — Staffing & Demand Misalignment

Confirmed finding: The analysis identified insufficient staff during peak-demand periods while some staff were underutilized during other periods.

This indicates a capacity-allocation problem rather than a simple 'too many staff' or 'too few staff' conclusion. The business could experience lost or constrained service capacity during high-demand periods while simultaneously carrying underused labour capacity during lower-demand periods.

Observation	Business Effect	Profitability Mechanism
Peak-period understaffing	Demand may exceed available staff capacity.	Potentially constrains completed services/revenue and affects customer availability.
Off-peak underutilization	Available labour capacity is not fully used.	Staff cost continues without proportional productive activity.
Demand varies by period	A static staffing pattern may not match customer demand.	Creates both missed opportunity and inefficient cost absorption.

Peak-period evidence: Demand was remembered as stronger generally in evenings and around major festival periods. Exact historical hours, days, percentages and festival names are not retained.

7. Root Cause 2 — Scheduling Inefficiency

Confirmed finding: Scheduling problems were identified as part of the profitability diagnosis.

Scheduling connects customer demand with staff capacity. When staffing patterns do not reflect demand patterns, the salon can experience peak-period shortages and lower-period underutilization at the same time.

Diagnostic Link	Interpretation
Appointment demand ↔ working hours	Compare when customers seek appointments with when staff capacity is available.
Peak demand ↔ staffing level	Assess whether staffing is sufficient during comparatively high-demand periods.
Off-peak demand ↔ staff utilization	Identify periods where available staff capacity is comparatively underused.
Scheduling ↔ customer feedback	Staff-availability complaints can provide qualitative support for capacity issues.

8. Root Cause 3 — Stylist Revenue Variation & Staff Cost Pressure

Confirmed findings: There were major differences in revenue generated by stylists, and salary/commission costs were an important profitability issue.

Revenue variation by stylist does not automatically mean lower-revenue stylists are poor performers. Differences can be influenced by working hours, appointment allocation, service mix, customer demand and scheduling. Therefore, stylist performance should be interpreted using multiple measures.

Measure	Why It Matters
Revenue by stylist	Shows commercial contribution.
Appointments / services handled	Provides workload/activity context.
Working hours / utilization	Adds capacity/time context.
Repeat customers	Adds customer continuity context where available.
Customer feedback	Adds qualitative service context where attributable.
Salary / commission cost	Shows staff-linked cost alongside output.
Analytical control: Do not create an unsupported composite 'stylist performance score' or conclude that salary/commission should be reduced solely because one stylist generates less revenue.	

9. Root Cause 4 — Pricing, Discounts & Service Economics

Pricing and discount analysis formed part of the profitability investigation. The engagement considered whether some services were underpriced, whether discounts were too high, and whether premium services demonstrated stronger economics/margins.

Issue Investigated	Potential Profitability Effect	Evidence Boundary
Potential underpricing	Revenue may not sufficiently cover service delivery costs / desired contribution.	Exact historical service prices are confidential/not published.
High discounting	Reduces realized revenue relative to listed value.	Exact discount rates are not retained.
Service mix	A change in the mix of services can affect overall revenue and contribution.	Exact service mix percentages are not retained.
Premium-service economics	Higher-value services may have different contribution characteristics.	Exact margin percentages are not retained.
Material / direct costs	Higher direct costs can weaken service contribution.	Exact cost allocation values are confidential/not published.
Service-level logic: Where direct cost attribution is reliable: Service Contribution = Service Revenue – Direct Service Costs. This is a portfolio analytical formulation, not a claim about the exact historical formula implementation.		

10. Root Cause 5 — Cancellations & No-Shows

Confirmed finding: Cancellations/no-shows were a meaningful business problem.

A booked slot that is cancelled or becomes a no-show can reduce realized service activity and create unused capacity, particularly when the slot cannot be rebooked. This connects customer behaviour directly to both revenue opportunity and staff utilization.

Mechanism	Business Impact
Cancelled booking	Potential loss of planned service revenue unless the slot is refilled.
No-show	Staff capacity may remain reserved but unproductive.
Peak-period cancellation/no-show	Can be especially costly if demand exists but the capacity cannot be reallocated in time.
Repeated appointment loss	Can reduce realized utilization and distort staffing economics.
Measurement boundary: The exact historical cancellation/no-show rate and denominator are not retained. The portfolio should calculate these only from a sanitized dataset with documented appointment-status rules.	

11. Customer Repeat Behaviour & Retention

Repeat customers and retention were analyzed because recurring visits support ongoing salon demand and can influence profitability. Phone-number data was used to identify repeat visits.

Analysis	Profitability Relevance
Repeat-customer identification	Shows whether customers return for additional services.
Retention behaviour	Provides a view of customer continuity over time.
Service usage by returning customers	Can help understand which services support recurring demand where data permits.
Repeat-customer initiatives	Provide a commercial lever to encourage recurring business.
Boundary: The exact repeat-customer rate and historical retention window are not retained and are not stated as facts.	

12. Customer Feedback as Supporting Evidence

Qualitative feedback was reviewed from Google reviews, Instagram comments, WhatsApp feedback, surveys, salon records and direct conversations.

Confirmed Theme	Potential Connection to Profitability / Operations
Pricing	May influence perceived value, purchase decisions or reactions to pricing changes.
Staff behaviour	Can affect customer experience and repeat behaviour.
Cleanliness	Can affect customer experience and willingness to return.
Staff availability	Supports investigation of scheduling/capacity alignment.
Evidence discipline: Feedback themes provide contextual evidence. They should not be converted into fabricated sentiment percentages or treated as proof of financial causation.	

13. Root-Cause Synthesis

Root-Cause Area	Confirmed / Supported Finding	Recommended Direction
Staffing alignment	Peak-period understaffing and off-peak underutilization.	Align staffing more closely with demand patterns.
Scheduling	Scheduling problems contributed to inefficiency.	Adjust schedules using appointment-demand patterns.
Stylist economics	Major revenue differences existed across stylists.	Review performance using revenue plus activity/utilization/customer context.
Staff cost	Salary/commission costs were a profitability consideration.	Manage staffing/compensation economics alongside productive output.
Pricing / discounts	Underpricing and excessive discounting were investigated/identified as relevant considerations.	Adjust pricing and strengthen discount control where supported.
Service mix / economics	Service economics and premium-service margin differences were considered.	Optimize service mix and pricing decisions.
Cancellations / no-shows	Meaningful appointment-loss problem.	Reduce avoidable lost appointment capacity.
Repeat customers	Repeat/retention behaviour was analyzed.	Use repeat-customer initiatives to support recurring demand.
Material / operating cost	Costs were part of profitability analysis.	Reduce/control avoidable costs where supported.
Customer experience	Pricing, behaviour, cleanliness and availability themes were observed.	Address operational/customer-experience issues alongside quantitative changes.

14. Recommendations-to-Root-Cause Traceability

Recommendation Category	Root Cause Addressed	Expected Business Direction
Pricing changes	Underpricing / service economics	Improve realized economics of relevant services.
Discount control	Excessive discounting	Reduce avoidable revenue leakage.
Staffing changes	Peak shortages / off-peak underutilization	Improve capacity alignment.
Scheduling changes	Demand-capacity mismatch	Place staff capacity closer to demand periods.
Promotions	Demand / commercial performance	Support targeted demand rather than indiscriminate discounting.
Service-mix optimization	Variation in service economics	Encourage commercially stronger service mix where appropriate.
Repeat-customer initiatives	Customer continuity	Support recurring visits.
Cost reduction	Salary/commission, material and other expenses	Reduce avoidable cost pressure.

15. Implementation & Outcome

The user confirmed that necessary recommendations across the relevant categories were implemented. Because multiple interventions were made, the project outcome should be presented as the result of a combined profitability-improvement program rather than assigning a precise percentage contribution to each recommendation.

Measured business outcome: Profit increased by 15% within approximately two months.

Outcome formula: Profit Improvement % = (Profit After Recommendations – Profit Before Recommendations) ÷ Profit Before Recommendations × 100

The underlying profit values are commercially sensitive and remain confidential.

16. What the Analysis Does NOT Claim

- That one single root cause explained the entire profitability decline.
- That one recommendation alone generated the 15% improvement.
- Exact ₹ revenue, expense, profit, salary, commission, service-price or cost values.
- Exact contribution percentages for staffing, pricing, discounts or any other intervention.
- Exact peak days/hours, customer counts, staff counts or appointment counts.
- Exact cancellation/no-show, retention, utilization, margin or discount percentages.
- An exact historical SQL query, DAX measure, cost-allocation method or dashboard layout.

17. Root-Cause Validation Framework

Finding	Validation Approach in Portfolio Rebuild
Peak-period understaffing	Compare appointment demand by period with staff availability/working hours.
Off-peak underutilization	Compare staff capacity/activity across lower-demand periods.
Stylist revenue differences	Aggregate validated revenue and activity by sanitized stylist.
Salary/commission pressure	Compare staff-linked costs with revenue/activity at an appropriate reporting level.
Pricing/discount issue	Compare listed/actual revenue and discount behaviour where sanitized data supports it.
Service economics	Compare service revenue with attributable direct costs where allocation is defensible.
Cancellations/no-shows	Standardize appointment statuses and calculate documented rates.
Repeat behaviour	Use sanitized phone-based customer matching logic to identify repeat visits.
Feedback themes	Categorize sanitized qualitative evidence separately from transactions.
Profit improvement	Compare validated pre- and post-implementation profit using the same profit definition.

18. BA + DA Value Demonstrated

Business Analysis Capability	Data Analysis Capability
Problem decomposition	Data profiling and preparation
Stakeholder/business-question framing	Profitability analysis
Root-cause analysis	Appointment/customer/service analysis
Requirement-to-insight traceability	Staff/pricing/cost analysis
Recommendation design	Qualitative + quantitative evidence synthesis
Business impact framing	KPI and Power BI reporting